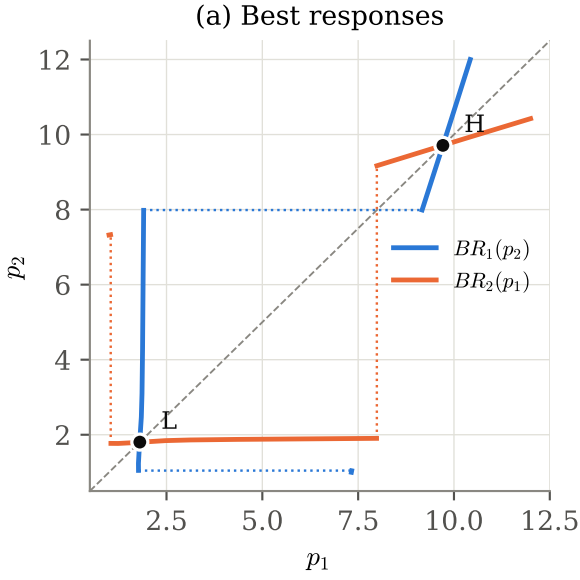
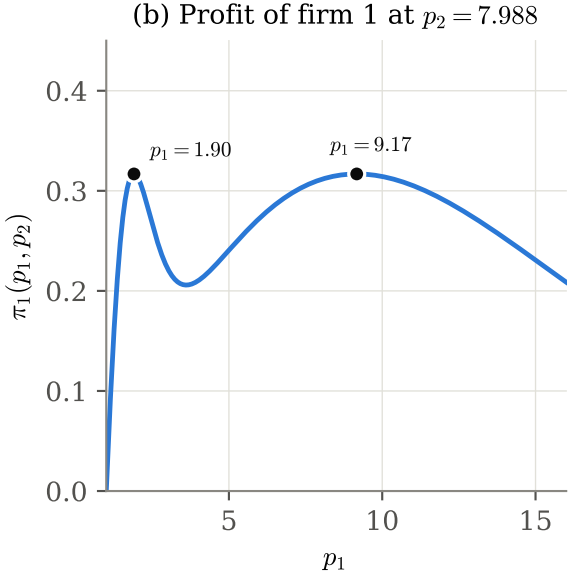

(a) Best responses
12
10
8
6
4
2
p_2
2.5
5.0
7.5
10.0
12.5
p_1
H
L
$BR_1(p_2)$
$BR_2(p_1)$


(b) Profit of firm 1 at $p_2 = 7.988$
0.4
0.3
0.2
0.1
0.0
$\pi_1(p_1, p_2)$
$p_1 = 1.90$
$p_1 = 9.17$
5
10
15
p_1